

What dilution means for you

Bundle Academy · Core path · Level 2 · 3 min · Source document for NotebookLM video generation

Your 0.5% won't stay 0.5%. How later rounds shrink your slice, and when that's good news.

WHAT THIS VIDEO MUST LAND

By the end the viewer should be able to state the argument below in their own words. It is one argument, not a list of tips. Every number is illustrative of published ranges, not a forecast of any specific investment.

- Your percentage shrinks at every round: that alone is not bad news.
- Dilution with a rising valuation still grows the value of your stake.
- Down rounds, pool refreshes and preferences shrink value, not just percentage.
- Always check share class, preference stack and option pool.

THE ARGUMENT, IN ORDER

1 You buy a percentage, not a promise

Narration: A £5,000 cheque into a £5m round buys 0.1% of the company. That number starts shrinking at the very next raise.

On screen: A stat visual.

Hold: about 7 seconds

2 Each round takes a slice

Narration: New investors buy newly issued shares. Everyone already on the cap table owns the same shares, but a smaller share of the whole.

On screen: A stacked bar showing how the whole is divided, and how the division shifts.

Hold: about 9 seconds

3 Smaller slice, bigger pie

Narration: Dilution is only bad if the valuation is not rising with it. Half of £200m beats all of £2m, every time.

On screen: A bar chart measured in £ value of your stake: Seed, 0.10% of £5m = 5000 £ value of your stake; Series A, 0.078% of £25m = 19500 £ value of your stake; Series B, 0.063% of £80m = 50400 £ value of your stake; Series C, 0.053% of £200m = 106000 £ value of your stake.

Hold: about 8 seconds

4 The dilution that does hurt

Narration: Down rounds, big option-pool top-ups and liquidation preferences stacking ahead of you. Those shrink the slice without growing the pie.

On screen: A bar chart measured in £ value of your stake: Flat round = 42000 £ value of your stake; Down round at half = 19000 £ value of your stake; 2x preference ahead of you = 7000 £ value of your stake.

Hold: about 7 seconds

5 What to check before you invest

Narration: Ask for the share class, the preference stack and the option pool. Those three decide what your percentage is actually worth.

On screen: A stat visual.

Hold: about 6 seconds

THE SAME ARGUMENT IN PROSE

Buying into a private company buys you a percentage of it at a moment in time. That percentage is not fixed. Every subsequent round issues new shares, and unless you buy more, your slice of the whole gets smaller.

That is normal and usually fine. If the company is worth ten times more when your stake is diluted by a quarter, you are comfortably ahead. Dilution alongside a rising valuation is the ordinary price of the company having enough money to grow.

The dilution that genuinely hurts comes in three shapes. A down round issues shares at a lower price, so more shares are created for the same money. A large option-pool refresh dilutes existing holders to fund future hires. And liquidation preferences pay later investors out ahead of you, which can leave a "successful" exit paying ordinary shareholders very little.

None of this is hidden. It is in the share class, the preference stack and the option pool. Crowdfunding rounds in particular often sell ordinary shares sitting behind everything else, which is worth knowing before

rather than after.

tone and constraints

- **Never give advice.** Describe how the asset class behaves. Do not tell the viewer what to buy, how much to invest, or that anything is a good opportunity. No "you should", no "we recommend".
- **Do not invent numbers.** Use only the figures in this document. If a figure is not here, leave it out rather than estimating one.
- **Keep the risk honest.** Losing everything is the single most likely outcome for any one early-stage company. Never soften that, and never end on a purely upbeat note that contradicts it.
- **Plain English.** UK spelling. Expand any term the first time it appears. No hype words: no "unlock", "supercharge", "game-changing", "revolutionary".
- **Calm, factual delivery.** This is an explainer, not a pitch. No urgency, no countdowns, no scarcity.
- **No specific companies.** Do not name real companies as examples, and do not imply any listing is available or recommended.

basis of the figures

Illustrative cap-table arithmetic. Real rounds vary widely in size and structure.

Bundle is an aggregator of private-market opportunities listed on third-party venues. It holds no client money, executes no trades and gives no advice. Private-market investments are illiquid, are not covered by the FSCS, and you may lose all the money you invest. This document is educational source material, not a financial promotion.